

Available Substitutes For Company's Product

We must be aware of the substitutes available for a Company's product

Substitute products are those that can completely replace the use of the product in the market. Eg. EV can substitute petrol cars, When cars came they substituted horsecars. So, look if the product as a whole can be substituted in the market.

People will continue to purchase and use these products irrespective of the Company producing them.

However, people can substitute Coke with Pepsi.

Buy and eat from burger King rather than Mac.D.

Are there any substitutes for the product in the market?

Yes?

Then, Dig Deeper!

Are people substituting the product?

No!

Go Ahead and Invest!

What are the advantages or the reason for substitution?

Ask yourself:

Do we understand the products and services that the company offers?

Are we confident that the company will be able to sell its product even five years from today?

This basic understanding of products/services of a company sets us up well.

